

# Tracking the US Consumer: Spending Intentions and Sentiment Improve in August

Our August US AlphaWise Consumer survey shows a broad-based improvement in the consumer backdrop, with both economic sentiment and N6M consumer electronics spending intentions improving M/M. August’s sentiment rebound points to potential future hardware spending improvements.

AlphaWise 

**Our latest US AlphaWise Consumer Survey shows that both consumer sentiment (a leading indicator for spend) and next 6-month consumer electronics spending intentions improved M/M in August. Our Aug 20-24 AlphaWise US Consumer survey** shows that US Consumers became more positive on the US economy in 2H of August, as sentiment upticked 3 points M/M to -16%, alongside a 4-point improvement in N6M household financial sentiment M/M, with 26% of respondents expecting an improvement. This marks a reversal from last month where we saw a deterioration in both of these metrics. Complementing the improvement in sentiment, next 6-month consumer electronics spending intentions also improved by 9 points M/M to -8% (i.e., a shrinking base of consumers expecting to spend less in N6M), now marking two consecutive months of improvement, driven by improving intentions in earners with incomes both over and under \$100K.

**What does this mean?** After consumer sentiment reversed lower last month, the rebound in both economic and household financial sentiment in August is encouraging, particularly alongside a second consecutive month of improving N6M consumer electronics spending intentions. Importantly, spending intentions improved across both lower- and higher-income households, while next-month consumer electronics and PC spending intentions also improved by more than normal August seasonality, pointing to a broader improvement in the consumer electronics spending outlook. We are somewhat surprised by the magnitude of this month’s improvement in N6M spending intentions, given the ~1-month lag between economic sentiment and spending intentions would have suggested softer spending intentions following July’s deterioration in sentiment. However, with sentiment now improving again in August, we would expect N6M spending intentions to continue to improve next month. Overall, we will have to monitor whether August’s broad-based improvement could be evidence of a more constructive consumer electronics spending backdrop.

**US Consumers' view on the economy improved M/M in August, alongside their view on their household financial situation.** Our latest AlphaWise Consumer Pulse Survey shows that US consumers turned more positive on their outlook for the US economy (an improvement of 3 points vs. our July survey; [Exhibit 1](#)) and their

|                                 |  |                 |
|---------------------------------|--|-----------------|
| MORGAN STANLEY & CO. LLC        |  |                 |
| Erik W Woodring                 |  |                 |
| Equity Analyst                  |  |                 |
| Erik.Woodring@morganstanley.com |  | +1 212 296-8083 |
| Rauf Ural                       |  |                 |
| Research Associate              |  |                 |
| Rauf.Ural@morganstanley.com     |  | +1 212 761-5958 |
| Maya C Neuman                   |  |                 |
| Research Associate              |  |                 |
| Maya.Neuman@morganstanley.com   |  | +1 212 761-1946 |
| Dylan Liu                       |  |                 |
| Research Associate              |  |                 |
| Dylan.Liu@morganstanley.com     |  | +1 212 761-4519 |

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household situation outlook also improved 4 points ([Exhibit 2](#)) in August. This uptick in consumer sentiment, interestingly, contrasts directionally with the latest University of Michigan Consumer Sentiment Index, which worsened by 4 points M/M in August ([Exhibit 3](#)). The M/M improvement in economic outlook in our AlphaWise survey was driven by most household income bands below and above \$100K, but most notably the \$75k-\$99k income band.

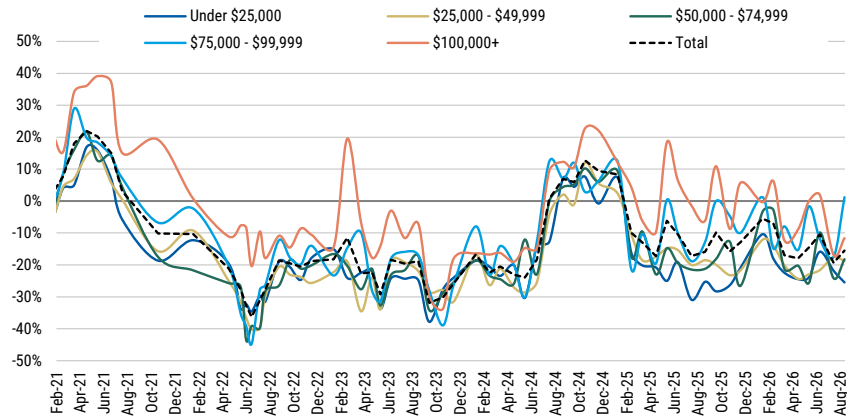
**Alongside consumer sentiment, N6M consumer electronics spending intentions also improved M/M.**

In our August AlphaWise Survey, one-month forward net spending intentions (i.e., expectations for spending next month vs. this month) on consumer electronics and PCs improved by 8 points M/M to -2% ([Exhibit 4](#)) and 7 points M/M to -6% ([Exhibit 5](#)), respectively, better than normal August seasonality. More importantly, next 6-month consumer electronics net spending intentions improved at -8% in August, ([Exhibit 6](#)) driven by lower-income spending intentions upticking 6 points to -17% ([Exhibit 7](#)) and higher-income spending intentions upticking 9 points M/M at -12% ([Exhibit 8](#)), keeping spending intentions close to in line with May 2025 and marking the second consecutive month of improvement. As a reminder, there is a ~0.6 correlation between sentiment on the economy (which downticked last month) and next 6-month consumer electronics spending intentions, with a 1-month lag. So, we are surprised to see spending intentions improve this month, and we'd expect to see this trend continue to improve next month given the improvement of sentiment indicators this month.

# Exhibits

**Exhibit 1:** A net 16% of US consumers expect the health of the US economy to worsen in the next 6 months, a 3-point improvement from our July survey

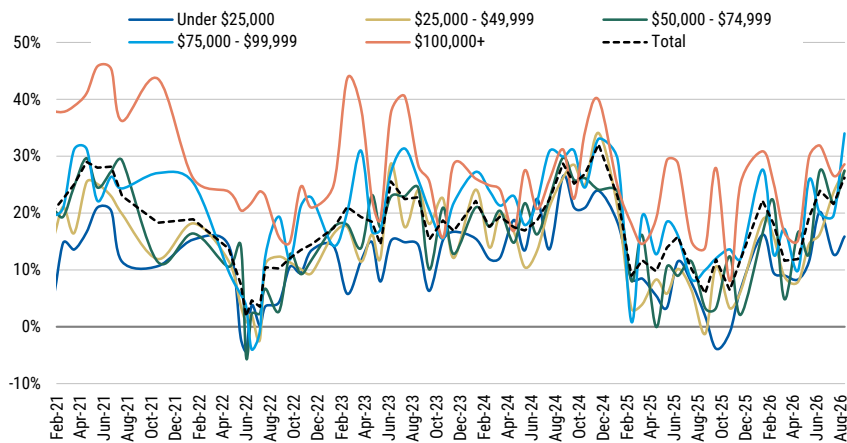
**AlphaWise Pulse Survey: Net % of Respondents Expecting Health of US Economy to Improve in Next 6 Months**



Source: AlphaWise, Morgan Stanley Research, n = 2,045

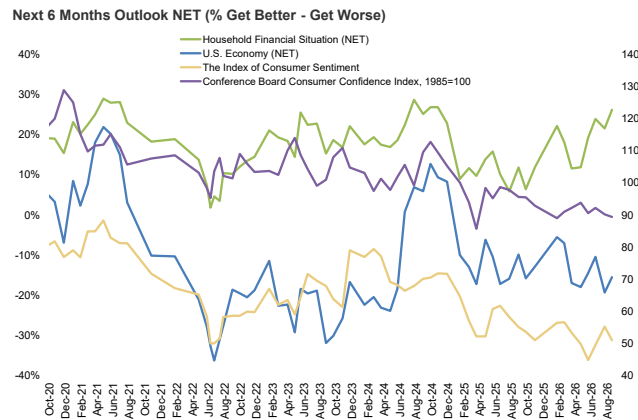
**Exhibit 2:** As of our August survey, a net 26% of US consumers expect their household financial situation to improve in the next 6 months, a 4-point improvement from our July survey

**AlphaWise Pulse Survey: Net % Respondents Expecting Household Financial Situation to Improve in Next 6 Months**



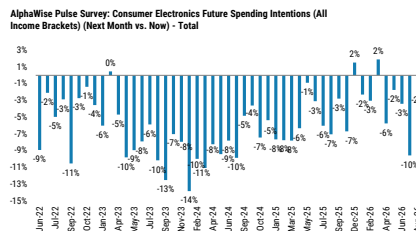
Source: AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 3:** The Consumer Sentiment index from the University of Michigan shows that consumer sentiment on the US economy worsened by 4 points M/M in August, contrasting directionally with our AlphaWise Consumer survey



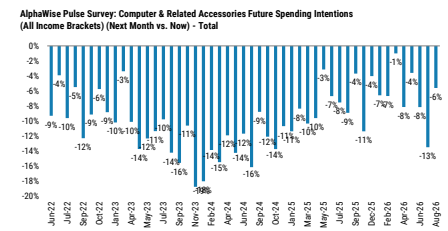
Source: University of Michigan, AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 4:** Next-month consumer electronics net spending intentions upticked 8 pt M/M, to -2%...



Source: AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 5:** ... and next-month PC net spending intentions upticked 7 pts M/M in August to -6%

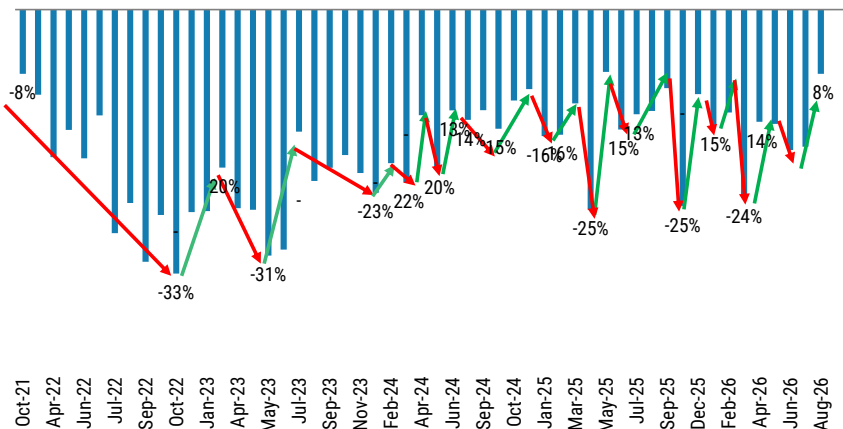


Source: AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 6:**

At the end of August, a net 8% of survey respondents expect to spend less on consumer electronics over the next 6 months, 9 points better than our July survey...

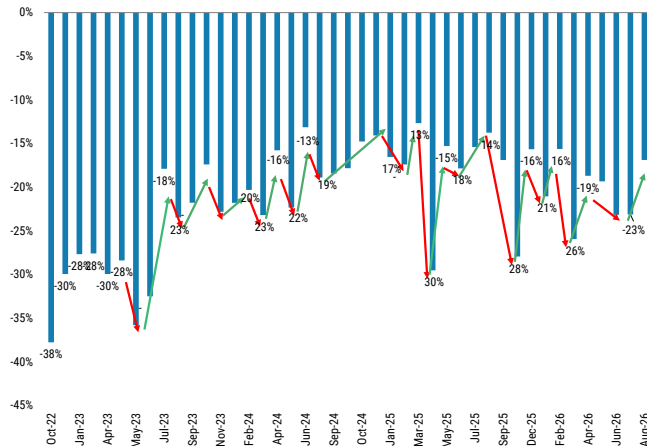
**AlphaWise Pulse Survey: Consumer Electronics N6M Future Spending Intentions - All Income Brackets**



Source: AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 7:** ... driven by a 6-point uptick M/M for consumers with <\$100K in annual income...

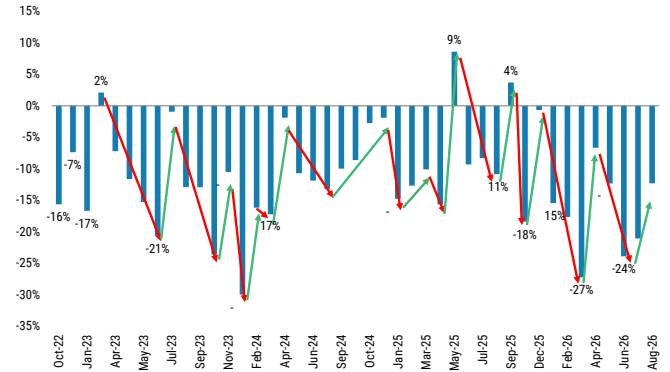
AlphaWise Pulse Survey: Consumer Electronics N6M Future Spending Intentions - Households with < \$100K Income



Source: AlphaWise, Morgan Stanley Research, n = 2,045

**Exhibit 8:** ... and a 9-point M/M uptick in N6M CE spending intentions for high-income consumers

AlphaWise Pulse Survey: Consumer Electronics N6M Future Spending Intentions - Households with \$100K+ Income

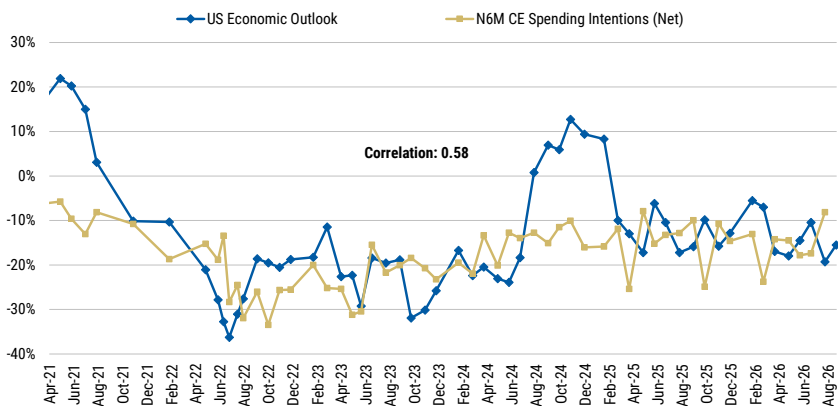


Source: AlphaWise, Morgan Stanley Research, n = 2,045

### Exhibit 9:

There is a direct, positive, lagged correlation between US Consumer electronics spending intentions in the next 6 months and consumer sentiment on the US economy

US Economic Outlook vs. N6M Consumer Electronics Spend Intentions (Lagged by 1 Month)



Source: AlphaWise, Morgan Stanley Research, n=2,045

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| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

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## INDUSTRY COVERAGE: IT Hardware

| COMPANY (TICKER)                   | RATING (AS OF) | PRICE* (08/28/2026) |
|------------------------------------|----------------|---------------------|
| <b>Erik W Woodring</b>             |                |                     |
| Apple, Inc. (AAPL.O)               | O (05/26/2009) | \$319.70            |
| CDW Corporation (CDW.O)            | O (06/23/2026) | \$147.69            |
| Circuit City Inc (CRCT.O)          | U (08/12/2021) | \$5.80              |
| Dell Technologies Inc. (DELL.N)    | E (06/01/2026) | \$456.24            |
| Everpure, Inc. (P.N)               | O (08/10/2026) | \$93.40             |
| Garmin Ltd (GRMN.N)                | E (02/18/2026) | \$285.19            |
| GoPro Inc (GPRO.O)                 | U (12/12/2023) | \$0.60              |
| Hewlett Packard Enterprise (HPE.N) | O (08/10/2026) | \$52.31             |
| HP Inc. (HPQ.N)                    | U (11/16/2025) | \$30.52             |
| IBM (IBM.N)                        | E (01/18/2023) | \$235.59            |
| Ingram Micro (INGM.N)              | E (06/11/2025) | \$28.70             |
| Kornit Digital Ltd. (KRNT.O)       | E (11/06/2025) | \$16.72             |
| Logitech International SA (LOGI.O) | U (01/20/2026) | \$97.96             |
| NetApp Inc (NTAP.O)                | E (08/10/2026) | \$187.02            |
| Resideo Technologies Inc (REZI.N)  | O (08/11/2025) | \$19.63             |
| Seagate Technology (STX.O)         | O (03/26/2024) | \$829.76            |
| SmartRent, Inc. (SMRT.N)           | ++             | \$1.34              |
| Sonos Inc. (SONO.O)                | E (11/06/2025) | \$15.30             |
| TD Synnex Corporation (SNX.N)      | O (06/11/2025) | \$253.97            |
| Teradata (TDC.N)                   | E (08/10/2026) | \$28.77             |
| Western Digital (WDC.O)            | O (04/16/2025) | \$459.45            |
| <b>Sanjit K Singh</b>              |                |                     |
| Nutanix Inc (NTNX.O)               | E (01/12/2026) | \$69.16             |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

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